SADC GDP ANALYSIS

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OVERVIEW

This analysis examines the distribution of gross domestic product (GDP) across key economic activities, grouped into sectors, for five SADC countries: Zambia, Zimbabwe, Malawi, South Africa, and Angola. The analysis has been conducted using data from 2015 up until 2024. The aim is to assess economic structures and to determine whether there are dependencies on any specific sector or activity.

DEFINITIONS

1. Gross domestic product (GDP): is a monetary measure of the total market value of all the final goods and services which are produced and rendered during a specific period (usually a year) by a country.
2. Primary Sector: Involves the harvesting, mining, Quarrying, and collection of natural resources.
3. Secondary Sector: Refers to vocations in which products are assembled and finished (manufacturing, chemical production, shipbuilding, construction, energy distribution, engineering).
4. Tertiary Sector: Provides services to consumers and businesses rather than producing goods. Examples include retail, healthcare, education, banking, and transportation.
5. Adjustments: Taxes less subsidies on products.

KEY FINDINGS

All five countries rely on the tertiary sector the most. This is because there are more economic activities in the tertiary sector than any other sector. South Africa has had the highest overall GDP amount, followed by Angola, then Zimbabwe, then Zambia, and finally, Malawi.

Zambia and Zimbabwe share a similar GDP structure. Both show dominant wholesale and retail trade, but significant primary sector contributions. Malawi’s GDP structure is also like the two, but with a concentration on agriculture, forestry and fishing. Notably, Zimbabwe and Malawi were the only countries to not experience a decrease in GDP from 2019 to 2020.

South Africa is highly service-driven and diversified. The Tertiary sector is significantly dominant. Angola is heavily concentrated in primary activities such as mining more than any other country in this analysis. Though this concentration works for Angola, it would be highly risky for Zambia to adopt a structure like this. Both countries are structurally distinct.

IMPLICATIONS

Zambia remains partially dependent on primary sectors. This means low levels of diversity, creating exposure to external shocks. The solution is promoting economic diversification. This can be done particularly in the tertiary sector for stability and growth, as observed in South Africa. The Zambian government can develop policies to support this diversification.

CONCLUSION

Zambia exhibits an economic structure that is more balanced than resource-heavy economies like Angola, but less diversified than service-driven economies like South Africa. This highlights the need for continued structural transformation to achieve a diversified structure that can adequately handle both external and internal shocks.